IOWN

The Morning Brief

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Ceasefire Rally

US-Iran two-week ceasefire sends oil plunging and risk assets surging, but early violations and a wide negotiating gap could test the truce before Islamabad talks Friday.

S&P 500 (TUE)	BRENT CRUDE	CEASEFIRE	GOLD	FEAR & GREED
6,614 · Flat · Futs ↑2.8%	~$95 premarket ↓13%	2-Week Truce · Hormuz Reopening	~$4,730 ↑1% Tue · Volatile Wed	17 · Extreme Fear

SECTION 01

Markets

THE BINARY RESOLVED — CEASEFIRE SENDS FUTURES SURGING

Less than two hours before Trump's third Iran deadline, Pakistan's Prime Minister Sharif announced an immediate ceasefire with Hormuz reopening — resolving the compressed binary that the prior two briefs identified as the portfolio's defining near-term event. Tuesday's session had been a waiting game: the S&P closed at 6,614, essentially flat (+0.04%), while the UVXY rose 5.27% as the options market priced a significant directional move in either direction. The overnight tape delivered it. S&P 500 futures surged approximately 2.8%, Nasdaq futures jumped 3.2%, and Dow futures rose 2.3%. Asian markets reflected the magnitude: Japan's Nikkei gained 5.4%, South Korea's KOSPI surged 6.9%, and India's Nifty cleared 23,100, according to Bloomberg. For IOWN, the ceasefire opens a new chapter in portfolio positioning: the crisis premium that supported the energy sleeve may face compression, while rate-sensitive holdings and growth names stand to benefit from oil-driven inflation repricing.

OIL PLUNGES AS HORMUZ BEGINS COORDINATED REOPENING

Brent crude plunged approximately 13–14% in premarket trading, falling from around $109 at Tuesday's close to the mid-$90s. WTI dropped roughly 15% to just above $96. The crash reflects the market pricing in partial Hormuz normalization: at least two vessels have safely transited the Strait since the ceasefire took effect, though Iran's military is coordinating passage and hundreds of vessels — including 426 tankers, 34 LPG carriers, and 19 LNG vessels — remain in the region, according to MarineTraffic data. The reopening is a process, not a switch. Shell has already trimmed its Q1 gas production outlook citing Qatar disruptions, per Reuters. IOWN's energy sleeve (CVX +1.35% Tuesday, VLO +2.41%, OKE +2.41%) may face near-term pressure as the geopolitical risk premi-

um compresses. But the structural supply deficit persists: Asaluyeh's destroyed petrochemical capacity takes years to rebuild, and the physical bottleneck of hundreds of stalled vessels could take weeks to clear even under ideal conditions.

RATE CUTS RE-ENTER THE CONVERSATION

The oil collapse is doing something the labor market could not: reopening the door for monetary easing. Treasuries rallied overnight, with the 10-year yield falling approximately 9 basis points to 4.24% and the two-year declining to approximately 3.72%, according to Bloomberg. Early overnight futures pricing suggests roughly even odds of at least one rate cut by year-end — a dramatic shift from near zero last week when the March NFP +178K print cemented a no-cut consensus. Morgan Stanley has noted the Fed could begin easing in H2 2026 if energy costs cool inflation durably. The repricing is directly constructive for IOWN's rate-sensitive holdings: BKH surged 2.43% Tuesday, NEE gained 1.01%, and ATO rose 0.47% — all before the post-ceasefire Treasury rally amplified the move. A Dallas Fed analysis warned that an extended Hormuz closure could push oil past $167 and inflation above 4% — the ceasefire, if it holds, may be averting that scenario.

S&P 500	**6,614 Tue flat · Futures ↑2.8% Wed AM**
BRENT / WTI	**~$95 / ~$96 premarket · ↓13–15% from Tue close**
10Y YIELD	**4.24% ↓9bp · Rate cut odds repricing toward even by year-end**
GOLD	**~$4,730 Tue ↑1% · Volatile Wed on ceasefire + violations**
FEAR & GREED	**17 · Extreme Fear · Up from 11 Mon**

The ceasefire compressed six weeks of risk premium into a single overnight session. The portfolio was built for the crisis and for what comes after — cash-generative businesses, physical infrastructure, and structural energy demand do not reset because a two-week clock starts. Think Like an Owner.

Geopolitics

TWO WEEKS, NOT PEACE — THE VAST GAP BETWEEN POSITIONS

The ceasefire, brokered by Pakistan, suspends all US and Israeli strikes on Iran in exchange for Hormuz reopening, with delegations from both sides invited to Islamabad on Friday for comprehensive settlement talks. Hezbollah has paused attacks under the agreement, according to sources cited by Reuters. Iran submitted a 10-point proposal that reportedly includes demands for US force withdrawal from the region, the lifting of all sanctions, continued uranium enrichment, and war reparations, according to Al Jazeera and Foreign Policy. Trump rejected the enrichment clause Wednesday morning, insisting that no uranium enrichment would be permitted under any agreement and that the US would work with Iran to remove buried nuclear material. Witkoff, Kushner, and Vance are expected in Islamabad. The structural impasse — Iran demanding sovereignty over its nuclear program, the US demanding complete denuclearization — has not been resolved by the ceasefire. It has been deferred for two weeks.

VIOLATIONS WITHIN HOURS — LAVAN ISLAND AND GULF STRIKES

The ceasefire's fragility was exposed within hours. Explosions were reported at Iran's Lavan Island refinery and Sirri Island on Wednesday morning, according to Iranian state media. Iran's national oil company confirmed the Lavan facility was hit but reported no casualties. In what it characterized as retaliation, Iran launched missile and drone strikes on the UAE, Kuwait, and Bahrain, according to Al Jazeera. Kuwait's military reported intercepting 28 drones and cited significant material damage to oil infrastructure, power stations, and water desalination plants. Israel's IDF confirmed it had halted strikes on Iran but stated that operations against Hezbollah in Lebanon continue — a distinction that could test the ceasefire's scope, which Pakistan framed as covering Lebanon as well. Each violation introduces headline risk that could reverse portions of the relief rally intraday.

THE MULTILATERAL PATH CLOSED — ISLAMABAD IS THE ONLY TRACK

Tuesday's UN Security Council vote on the Hormuz resolution failed: Russia and China vetoed the diluted text, with 11 members voting in favor and Colombia and Pakistan abstaining. Russia's envoy described the resolution as unbalanced and confrontational, according to UN reporting. The veto eliminates the multilateral framework for Hormuz reopening, concentrating all diplomatic leverage on the bilateral US-Iran track now funneling through Islamabad. Trump suggested Wednesday morning that the US and Iran could pursue a cooperative commercial arrangement to safeguard the Strait — a concept whose feasibility remains unclear but would represent a structural shift in Gulf security architecture if realized. The two-week window narrows quickly: Friday's talks in Islamabad are the first test of whether the ceasefire can produce framework agreement or merely consume time.

CEASEFIRE	**Immediate · 2-week suspension · Hormuz coordinated reopening**
ISLAMABAD TALKS	**Friday April 10 · Witkoff, Kushner, Vance expected**
IRAN 10-POINT	**Sanctions lifted · Enrichment · US withdrawal · Reparations**
US POSITION	**No enrichment · Remove nuclear material**
VIOLATIONS	**Lavan + Sirri strikes · Iran retaliates vs UAE, Kuwait, Bahrain**
UN VOTE	**11–2–2 · Russia, China veto**

SECTION 03

On Our Radar

1. Islamabad talks Friday are the first real test of ceasefire durability. The gap between Iran's 10-point demands and Trump's maximalist nuclear conditions would need to narrow substantially within two weeks. If Friday produces even a framework for bridging the enrichment dispute, the ceasefire trades extend and the relief rally deepens. If talks stall, the two-week clock becomes a countdown. IOWN's portfolio construction was built for either scenario. Research Reveals Opportunities.

2. Oil's 13–15% premarket plunge may pressure the energy sleeve at the open, but the physical supply constraint persists. Hundreds of vessels remain stalled near Hormuz. Iran is coordinating transit, not opening the waterway unilaterally. Asaluyeh's petrochemical infrastructure remains destroyed. The risk premium compression is real; the structural supply deficit is also real. CVX, VLO, and OKE may face selling from funds unwinding crisis positions, but the physical-world thesis has not changed. **The physical world matters.**

3. Rate cut repricing is the most significant shift for the rate-sensitive sleeve since the conflict began. If oil remains below $100 sustainably, the inflation overhang that eliminated all 2026 rate cut expectations could ease. BKH (+2.43%), NEE (+1.01%), and ATO (+0.47%) rallied Tuesday before the Treasury move amplified overnight. The Warsh confirmation hearing on April 16 adds another variable — his views on monetary policy in a potentially deflationary energy environment could set the tone for H2 2026. Think Like an Owner.

4. Levi Strauss beat and raised guidance; Delta reports this morning as Q1 season begins. LEVI posted Q1 EPS of $0.42 versus the $0.38 consensus and raised full-year revenue guidance to $6.63–$6.69 billion, per company filings. Delta Air Lines reports pre-market with Q1 EPS consensus estimates in the $0.58–$0.64 range — management commentary on fuel cost assumptions could be the first corporate read on the ceasefire's energy impact. IOWN earnings approach: GPC April 21, LRCX and TEL April 22. Simplicity Over Complexity.

5. Trump's 50% tariff on nations supplying weapons to Iran introduces a new trade vector. The executive order, announced alongside the ceasefire, applies immediately with no exclusions, according to CNBC. Specific countries targeted have not been named publicly, but the measure could pressure nations with dual-use export relationships. For IOWN, the tariff reinforces the theme that trade fragmentation benefits domestic-facing, supply-chain-resilient holdings across both sleeves. Avoid Erosion.

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